

enforces agreements by imposing a tangible penalty for the misbehaving side and a tangible reward for the counterparty, the latter of which should be as good as or even better than the outcome of the original terms of the contract. These transparent incentive structures provide much more secure and more obvious guarantees than traditional financial agreements.

Another type of smart contract in DeFi that improves transparency is a *token contract*, which allows users to know exactly how many tokens are in the system and the parameters of inflation and deflation.

CENTRALIZED CONTROL

The fourth flaw of traditional finance is the strong control exerted by governments and large institutions that hold a virtual monopoly over elements such as the money supply, rate of inflation, and access to the best investment opportunities. DeFi upends this centralized control by relinquishing control to open protocols with transparent and immutable properties. The community of stakeholders or even a predetermined algorithm can control a DeFi dApp's parameter, such as the inflation rate. If a dApp contains special privileges for an administrator, all users are aware of the privileges, and any user can readily create a less centralized competitor.

The open-source ethos of blockchain and the public nature of all smart contracts assures that flaws and inefficiencies in a DeFi project can be readily identified and “forked away”